

Huntington Ingalls Industries

Business Development Dossier

Industry	Defense & Shipbuilding
Revenue	\$12.5B
Employees	44,000
Ideal Customer Profile Score	86

ICP SCORING MODEL



ICP = Signals + Revenue + Employees + Fit (max 100)

Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% <90d: 30% <180d: 20% older: 10%
Revenue (0-25)	\$500M-\$10B sweet spot -> 70-100% of 25 pts Below \$500M -> pro-rata x 0.5 Above \$10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name	Huntington Ingalls Industries, Inc.
Headquarters	Newport News, Virginia
Founded	2011
Ownership	Public (NYSE: HII); spun off from Northrop Grumman in 2011. Widely held institutional ownership.
Footprint	Two shipyards: Newport News Shipbuilding (Newport News, VA - 550 acres, carriers + submarines, 26,000 employees) and Ingalls Shipbuilding (Pascagoula, MS - amphibious ships + destroyers, 11,000 employees). Mission Technologies across U.S. 44,000 total employees.

SECTION 1b

Company Overview

Huntington Ingalls Industries (HII) is the largest military shipbuilder in the United States, sole builder of U.S. aircraft carriers (Newport News Shipbuilding, 26,000 employees, 550 acres) and a primary builder of nuclear submarines (Virginia-class, Columbia-class). Also operates Ingalls Shipbuilding (amphibious ships, destroyers) and Mission Technologies (defense IT). With \$12.5B revenue, 44,000 employees, two new shipyard presidents (Jan 2025), a faulty welds investigation expanding to 26 ships, and severe workforce shortages, HII faces the most consequential operational challenges in U.S. shipbuilding.

SECTION 2

Financial Health & Growth Stage

Understanding Huntington Ingalls Industries's financial position and trajectory is critical to framing any engagement conversation.

Revenue: \$12.48B TTM (March 2026), up from \$11.53B in 2024. Growing demand for submarines, carriers, and surface combatants.

Profitability: Margins constrained by labor costs, workforce inefficiency (reduced experience levels causing rework), and faulty welds remediation costs.

Backlog: Strong multi-year backlog driven by Virginia-class, Columbia-class submarine programs, Ford-class carrier program, and amphibious ship programs.

Key Pressures: Faulty welds investigation expanded to 26 ships (federal probe involving ~24 NNS employees); workforce experience levels declining due to retirements and turnover causing 'labor inefficiency and rework'; competition for skilled tradespeople; fixed-price contract risk.

Key Tailwinds: Only shipyard capable of building carriers; primary submarine builder; Navy expanding fleet size;

bipartisan support for naval shipbuilding; Navy investing in shipyard infrastructure.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Kari Wilkinson - President, Newport News Shipbuilding [PRIORITY TARGET]

Previously president of Ingalls Shipbuilding (2021-2024) where she oversaw 11,000 shipbuilders; now leads 26,000 at Newport News - America's sole carrier builder. 21st president in NNS 140-year history.

Outreach rationale: New leader (Jan 2025) of America's most strategically critical shipyard - 26,000 employees, 550 acres, sole builder of carriers and key submarine builder. Inherited the faulty welds investigation, workforce experience gap, and production challenges. As someone who previously ran Ingalls (smaller, different programs), she's adapting to a larger, more complex operation. McChrystal's operating model for safety-critical, large-scale operations is directly relevant.

Brian Blanchette - President, Ingalls Shipbuilding [PRIORITY TARGET]

Previously VP of Quality at Ingalls (2021-2024); elevated to president when Wilkinson moved to Newport News. Quality background critical given the welds investigation.

Outreach rationale: Quality background + new shipyard president = uniquely positioned to champion organizational quality improvements. His VP Quality experience means he understands the systemic organizational factors behind quality failures - not just the technical ones. McChrystal's operating discipline directly supports his quality-first leadership approach.

Additional leadership team members relevant to the engagement:

Christopher D. Kastner - President & Chief Executive Officer

Deep HII institutional knowledge; navigating quality crisis and workforce challenges; named to Virginia Power 50 list

[CFO] - Executive Vice President & CFO

Financial leadership for \$12.5B shipbuilding enterprise

[President, Mission Technologies] - President, Mission Technologies

Defense IT/services segment

SECTION 4

Organizational Culture & Structure

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how Huntington Ingalls Industries operates today and where friction exists.

Organizational Structure

Three divisions: Newport News Shipbuilding (carriers, submarines - 26,000), Ingalls Shipbuilding (amphibious ships, destroyers - 11,000), Mission Technologies (defense IT - ~7,000). Each shipyard operates as a semi-autonomous entity with its own culture, workforce, and customer relationships. Corporate in Newport News provides enterprise oversight. The two shipyard presidents are both new (Jan 2025) and both managing the

transition from predecessors.

Culture Signals

Shipyard Heritage Culture: Newport News Shipbuilding was founded in 1886 - 140 years of shipbuilding heritage. The culture is deeply rooted in craft tradition: skills passed through apprenticeships, institutional knowledge held by veteran tradespeople, and pride in building the most complex naval vessels in the world.

Glassdoor (3.4/5 for BIW - note: HII corporate may differ): Shipyard reviews cite disconnected top management, hostile work environment in some areas, union-management friction, and inconsistent treatment across sites. However, positives include good pay for the region and pride in mission-critical work.

Faulty Welds Cultural Implications: The investigation into faulty welds on 26 ships involving ~24 employees raises serious questions about quality culture - were production pressures overriding quality standards? Were reporting mechanisms adequate? This parallels Boeing's safety culture challenges at a different scale.

Workforce Experience Gap: Long-running retirements and turnover have left the workforce with 'reduced experience levels' - meaning less-experienced workers are performing nuclear-grade welds and pipefitting. This creates a quality risk that's organizational (training, supervision, mentoring) not just technical.

Two-Shipyard Cultural Differences: Newport News (Virginia) and Ingalls (Mississippi) have distinct cultures shaped by different geographic contexts, workforce demographics, and program types. Cross-shipyard coordination and best practice sharing is limited.

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging Huntington Ingalls Industries.

1. 2025-01-01 - Two new shipyard presidents appointed: Kari Wilkinson (NNS, from Ingalls) and Brian Blanchette (Ingalls, from VP Quality)

Dual leadership transition at both shipyards simultaneously - rare and high-risk during peak production demand and quality investigation

2. 2025-06-01 - Faulty welds investigation expanded to 26 ships; ~24 NNS employees involved in noncompliant work

Most serious quality crisis in HII's recent history - directly threatens the organizational credibility of America's sole carrier builder. Parallels Boeing's quality culture challenge.

3. 2026-01-28 - Newport News Shipbuilding marks 140 years of service; Kari Wilkinson leads the shipyard into its next era

140-year milestone creates a natural moment for organizational renewal - framing transformation as honoring heritage rather than abandoning it.

4. 2025-06-01 - Severe workforce shortage: need thousands of welders, pipefitters, electricians; 'reduced

experience levels' causing rework

Workforce crisis is organizational, not just HR: recruiting, training, mentoring, supervision, and quality systems must all coordinate to bring inexperienced workers to nuclear-grade standards.

5. 2025-12-01 - Navy expanding submarine and carrier requirements; Columbia-class and Virginia-class programs at peak demand

Peak demand with constrained capacity and quality challenges - the organizational coordination between programs, shipyards, and workforce development is the binding constraint.

SECTION 6**McChrystal Fit Assessment**

HII faces the most consequential quality and workforce challenges in U.S. shipbuilding. The faulty welds investigation on 26 ships - at America's sole carrier builder - is a national security concern that creates organizational urgency beyond normal commercial pressures. Two new shipyard presidents create openness to new approaches. Revenue \$12.5B is in the ICP range. McChrystal's naval/military credibility resonates uniquely in shipbuilding culture. The workforce development challenge (recruiting, training, and qualifying nuclear-grade tradespeople at speed) is an organizational coordination problem, not just an HR problem.

Primary Problem

Delivering the most complex naval vessels in the world (carriers, nuclear submarines) with a workforce that has declining experience levels, a faulty welds investigation on 26 ships, two new shipyard presidents, and severe shortages of nuclear-qualified tradespeople - all while the Navy's demand for ships is accelerating. The organizational coordination between quality assurance, workforce development, production planning, and program execution across two shipyards and 44,000 employees is the binding constraint.

Best McChrystal Capability Fit

Safety-critical operations leadership in constrained environments - HII's challenge is uniquely suited to McChrystal: high-consequence operations (nuclear submarine/carrier construction), workforce that must execute to impossible tolerances, quality culture that has shown cracks (faulty welds), and new leadership establishing authority. McChrystal's military credibility in naval/submarine operations creates genuine cultural affinity. The parallel between JSOC coordination and multi-program shipyard coordination is direct.

Likely Objections to Engagement

Shipbuilding is highly specialized - does McChrystal understand it?
 We're a Navy customer, not a combat unit - military analogies have limits
 Budget constrained by fixed-price contracts and remediation costs
 Union dynamics complicate external advisory engagement
 Faulty welds investigation creates legal sensitivity about organizational discussions

Competitive Advisory Landscape

McKinsey - shipbuilding production optimization

BCG - operational transformation
Specialized: shipyard-specific consultants
Internal: HII has deep institutional shipbuilding knowledge

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

1. With the faulty welds investigation expanding to 26 ships, how is the organization addressing the systemic factors - production pressure, supervision, reporting culture - that allowed noncompliant work to occur?

Lead with the quality crisis as an organizational challenge, not a personnel issue. Show understanding that quality failures at this scale have systemic roots.

2. As a new president at Newport News - coming from the smaller Ingalls shipyard - what's been the biggest organizational surprise in leading 26,000 shipbuilders on the most complex naval programs in the world?

Personal, leadership-focused question that acknowledges the transition challenge. Creates space for Wilkinson to articulate organizational needs.

Recommended Meeting Framing

Frame as a conversation about maintaining quality culture in high-consequence manufacturing environments during workforce transitions. McChrystal's experience: 'We operated in environments where the consequences of organizational failure were measured in lives lost, not just dollars. Shipbuilding - especially nuclear - shares that intensity.' The naval connection is genuine: McChrystal worked closely with Navy special warfare throughout his career.

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects Huntington Ingalls Industries's market positioning to potential McChrystal engagement opportunities.

Brand Value: HII is America's shipbuilder - the sole source for aircraft carriers and a primary submarine builder. This is not just a business brand; it's a national security brand. The company's identity is inseparable from U.S. naval power.

Brand Threats: The faulty welds investigation is the most significant brand threat - if America's sole carrier builder can't deliver quality ships, the implications extend beyond business to national security. Congressional scrutiny, Navy customer confidence, and public trust are all at stake.

McChrystal Connection: HII's brand is quite literally 'we build America's Navy.' When quality failures emerge on 26 ships, the brand of manufacturing excellence - built over 140 years - is at risk. McChrystal's operating model ensures the organizational coordination that prevents quality failures from recurring.

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing Huntington Ingalls Industries. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: Quality Culture Rebuilding After Faulty Welds

26 ships with faulty welds, ~24 employees involved in noncompliant work. This is a systemic quality culture failure - not just bad welders. The organizational factors (production pressure, supervision gaps, reporting barriers, workforce inexperience) must be addressed systemically. McChrystal's safety culture methodology - proven in environments where quality failures have life-or-death consequences - directly addresses this.

Fit Dimension 2: Workforce Development as Organizational Coordination

Recruiting, training, and qualifying nuclear-grade tradespeople requires cross-functional coordination between HR (recruiting), training (apprenticeship programs), operations (production scheduling around training), quality (certification standards), and union leadership (apprenticeship agreements). McChrystal's operating model connects these functions into a coordinated workforce pipeline.

Fit Dimension 3: Dual-Shipyard Coordination Under New Leadership

Both shipyard presidents are new (Jan 2025) and managing different challenges: Wilkinson at Newport News (carriers + submarines + quality crisis) and Blanchette at Ingalls (destroyers + amphibious ships). Cross-shipyard learning, best practice sharing, and resource coordination require an enterprise operating model that HII's historically autonomous shipyard structure may not support.

9b. Cumulative Case

HII is the most operationally critical and organizationally constrained defense prospect. Signal chain: Sole carrier builder -> faulty welds on 26 ships -> two new presidents -> workforce experience declining -> nuclear program demand accelerating -> Navy investing in capacity. Revenue potential: \$400K-\$500K initial (quality culture + workforce coordination), \$1M-\$1.5M deployment, \$400K ongoing. Total: \$1.8M-\$2.5M.

9c. Enterprise Issues

1. Faulty Welds Systemic Root Causes: Production pressure, inadequate supervision, workforce inexperience, and reporting barriers created conditions where 24 employees performed noncompliant work on 26 ships. Systemic fix required. 2. Workforce Experience Gap: Veteran tradespeople retiring faster than apprentices can be trained to nuclear-grade standards. The knowledge transfer challenge is multi-year. 3. Dual-Program Shipyard Stress (NNS): Virginia-class and Columbia-class submarines sharing Newport News with Ford-class carriers. Resource allocation between programs is constant tension. 4. Union-Management Quality Alignment: Union workforce must be partners in quality improvement, not resisters. This requires building trust that quality initiatives aren't punitive. 5. Cross-Shipyard Coordination: Newport News and Ingalls operate semi-independently. Best

practices, workforce sharing, and enterprise-level coordination are limited.

9d. Expected Outcomes

1. Quality Culture Operating Model: Information flow and reporting architecture preventing future quality escapes. Measurable: quality incident rate declining; reporting rate increasing. 2. Workforce Pipeline Acceleration: Cross-functional coordination for recruiting, training, and qualifying tradespeople. Measurable: time-to-qualified-welder reduced by 15%. 3. Cross-Shipyard Coordination: Operating rhythm connecting Newport News and Ingalls for best practice sharing. Measurable: cross-shipyard best practice adoption metrics established. 4. New President Effectiveness: Operating model supporting Wilkinson and Blanchette's leadership transitions. Measurable: leadership effectiveness scores established within 6 months.

9e. Key Stakeholders

CEO

Leader: Chris Kastner

Role: Enterprise leadership

McChrystal Relevance: Executive sponsor

Newport News Shipbuilding

Leader: Kari Wilkinson, President

Role: Carriers, submarines, 26,000 employees

McChrystal Relevance: Priority: Quality culture, workforce

Ingalls Shipbuilding

Leader: Brian Blanchette, President

Role: Destroyers, amphibious ships

McChrystal Relevance: Priority: Quality background, cross-shipyard

CFO

Leader: [CFO]

Role: Financial management

McChrystal Relevance: Budget gatekeeper

Mission Technologies

Leader: [President]

Role: Defense IT/services

McChrystal Relevance: Enterprise coordination

9f. Opportunity Thesis

Why Now: Faulty welds investigation + two new shipyard presidents + workforce crisis + accelerating Navy demand. Maximum organizational pressure.

Why McChrystal, Not McKinsey: Nuclear submarine and carrier construction is safety-critical, national-security-critical, and steeped in naval culture. McChrystal's military/naval credibility is unchallengeable. The quality culture challenge parallels Boeing's safety culture crisis - McChrystal's methodology addresses both.

Phased Engagement: Phase 1 (\$400K-\$500K): Quality culture assessment + workforce coordination at NNS. Phase 2 (\$700K-\$1M): Cross-shipyard deployment + workforce pipeline acceleration. Phase 3 (\$400K retainer):

Ongoing quality and coordination management. Total: \$1.5M-\$2M.

Multi-Threaded Pursuit: Kari Wilkinson (NNS President - quality crisis, workforce), Brian Blanchette (Ingalls President - quality background), Chris Kastner (CEO - enterprise). Naval community connections; McChrystal's Navy SEAL/special warfare relationships; Surface Navy Association (SNA) and submarine community events.